

SMART BETA AND OTHER URBAN LEGENDS

Things are seldom what they seem. Skim milk masquerades as cream.

—*Gilbert and Sullivan*

WE HAVE SEEN WHY WE want to focus on stocks and, to a lesser extent, bonds in our application of dual momentum. (If you do not understand that yet, please reread [Chapter 5](#).) The question then arises, are there better ways to participate in stocks than through traditional capitalization weighted indexes?

Smart beta is a catchall term for rules-based strategies that do not use conventional stock market index capitalization weights. According to Russell Investments, smart beta “includes transparent, rules-based strategies that are designed to provide exposure to market segments, factors, or concepts.” Smart beta attempts to deliver a better risk and return trade-off by using alternative weighting schemes based on measures such as volatility, dividends, and market risk factors. Among the best-known alternatives to capitalization weightings are the fundamentally weighted indexes developed in 2005 by Research Affiliates, a leader in the field of smart beta. It ranks stocks by sales, earnings, book value, and cash flow. Dimensional Fund Advisors came out at the same time with its similar Core Equity strategies